HOW TO SURVIVE THE BLOW

A STEEP HIKE IN H-1B VISA FEE IMPOSED BY THE UNITED STATES RATTLES THE IT SECTOR, THREATENING JOBS AND GROWTH, AND FORCING COMPANIES TO RETHINK BUSINESS MODELS

By **AJAY SUKUMARAN**

The weekend brought thunder from across the Atlantic, shaking India's IT industry to its core. The US—its biggest market, accounting for more than half of $224 billion (Rs 19.9 lakh crore) in tech exports—moved to shut the door on foreign software engineers with a prohibitive H-1B visa fee hike. Announced on September 19 by US president Donald Trump, the new fee for each H-1B visa application filed from September 21 would be $100,000 (around Rs 88.6 lakh), nearly 70 times higher than the previous fee, which ranged from $1,500-4,000 (Rs 1.3-3.5 lakh). While the H-1B visa has long been in the crosshairs of the Trump administration, which wants to curb visa 'abuses' that allegedly 'displace US workers and undermine national security', the confusion that accompanied the proclamation has sent the industry into a tizzy.

This is because Indians have so far been the biggest beneficiaries of H-1B visas, accounting for 71 per cent of approved ones in FY24. Among the large Indian IT companies, Infosys sponsored 8,137 H-1B visas in FY24, followed by Tata Consultancy Services (7,566), HCL America (2,952), LTIMindtree (2,136) and Wipro (1,636). Top American firms also rely heavily on H-1B visas. In FY24, eight of the top 10 sponsors were US companies and by June 2025, that number had risen to nine. Amazon.com Services LLC sponsored 10,044 visas, Microsoft Corp. 5,189, Meta 5,123 and Apple 4,202.

The stocks of IT firms took a beating on Indian bourses on September 23, dragging down the benchmark Sensex as well. Infosys, TCS and Wipro fell between 2 and 3 per cent, while smaller IT firms saw a steeper decline. Tech firms went into a huddle with their legal and immigration experts to understand the implications, while advising their employees in the US to stay put and asking those travelling overseas to return immediately, fearing that re-entry into the US could be impacted. In San Francisco, reports said a Dubai-bound Emirates flight was stuck on the tarmac for three hours as



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$100,000
(₹88.6 lakh)
NEW ONE-TIME PAYMENT
for H-1B visa effective 2026. Previously, it ranged from $1,500 to $4,000 (₹1.3 lakh-3.5 lakh)

71%
INDIA'S SHARE IN H-1B VISAS
approved in FY24

9
AMERICAN FIRMS
in the list of top 10 H-1B sponsors in 2025